

Global Luxury Goods

Hermès International

Rating

Outperform

Price Target

 RMS.FP

2,150.00 EUR



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Hermès: Highlights from the 1H26 conference call

Hermès reported 1H26 results yesterday. This report contains key points from its investor conference call. **Results Quick Take:** [Hermès: 1H26 organic sales in line; EBIT 2% above](#)

Management's priority remains cultivating Hermès' brand equity. Investors fret that this will come at the expense of the DD growth the market has come to expect - a difficult trade-off for a company trading at >30x P/E (see [Hermès: Valuations already discount a 'Ferrari reset'](#)). These concerns have found a lightning rod in management's commentary on the leather goods growth algorithm: a clarification that +6% growth refers to production hours, not volumes per se, has been interpreted as a step-down in guidance. Additional commentary that LFL pricing will be lower in FY27E than FY26E did not help, leading to a significant post-earnings share price reaction.

Hand-wringing around price and volumes leaves mix opportunities underappreciated (see [Hermès: Stretching upwards](#)). Hermès could still pull levers on marketing, category and product innovation. High jewellery, haute couture, and bigger flagship stores all offer opportunities for Hermès to expand non-leather categories upwards in the coming years. Management too seems open to the idea that they could stretch upwards in leather goods. Indeed, expanding mix would absorb production growth slated for the rest of the decade (a positive for investors worried about overcapacity) while adding to the leather goods growth algorithm (a positive for those worried about long-term growth).

Investment Implications

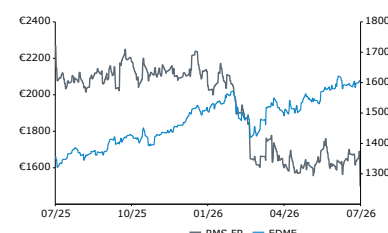
Hermès points to a sequential acceleration in top-line growth in 2H26E. All regions are either stable or accelerating sequentially. The leather goods growth algorithm for FY26E (of +5-6% pricing and +6% volumes) has been effectively confirmed. Sell-through in 1H26A has been strong, particularly in RTW and supported by a strong collection in Silks. We would expect supply to naturally increase as we approach the key EOY holiday season. Going forward, markets have also learnt to take company commentary in the lead up to earnings at face-value. We also note that net cash has been above €12bn since FY25, which makes extraordinary dividends more likely. We update our model by bringing down FY26E OSG up by -25bps to 7.7% (+33bps above consensus), driven by lower than expected Leather OSG in 2Q26, and weakness in Perfumes. We continue to model +11% for Leather for FY26E. This is offset by higher margin, given the beat in 1H26, continued growth, and FX headwinds tapering off. Overall, this leads to our FY26E EPS being +2% higher (in line with consensus).

Adjusted EPS	F25A	F26E	F27E
RMS.FP (EUR)	43.12	44.66	52.67
OLD	--	43.89	52.30

Financials	F25A	F26E	F27E	CAGR
Revenues (M)	16,002	16,940	18,726	--

Close Date	28 Jul 2026			
RMS.FP Close Price (EUR)	1,695.50			
Price Target (EUR)	2,150.00			
Upside/(Downside)	27%			
52-Week Range	2,417.00/1,491.50			
EDME	1,606.72			
FYE	Dec			
Div Yield	1.2%			
Market Cap (EUR) (M)	157,932			
EV (EUR) (M)	147,909			
Performance	YTD	1M	6M	12M
Absolute (%)	(29.5)	(7.4)	(26.2)	(37.1)
EDME (%)	9.1	1.3	6.5	17.8
Relative (%)	(38.6)	(8.7)	(32.7)	(54.9)
Source: Bloomberg, Bernstein estimates and analysis.				

Price Performance, 1YR



Source: Bloomberg, Bernstein estimates and analysis.

See the Disclosure Appendix of this report for required disclosures, analyst certifications and other important information. Alternatively, visit our [Global Research Disclosure Website](#).

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DETAILS

BUSINESS UPDATE

- **Outlook:**
 - 2026: management re-iterated the 11% growth for Leather Goods for FY26, with rough split of 6% volume and 5% pricing.
 - 2027: pricing is likely to be slightly lower than 2026. This shouldn't come as a surprise as Hermes have always used pricing to offset FX and production costs inflation, which appears to tapering off.
- Current trend by geography:
 - No change in trends for Americas, Japan, Korea and Europe
 - France remains a question, but there's a sequential improvement in 2Q26
 - Middle East impact represented -1.5pts drag on growth in 2Q26 and the outlook remains uncertain. UAE retail stores have managed compensate the drop in traffic with higher tickets, but the situation is more complicated in Kuwait, Qatar, Bahrain where Hermes runs concession stores.
- **China:** The market has been stabilising, but there has yet been material improvements. Management continues to see wealth creation - in the property and stock market - as key driver for market rebound. Overall sales appears to be stabilising in China for Hermes.
- **FX:** Total FX impact on EBIT was EUR200m for 1H26, with a 50/50 split between negative hedging impact and FX translation. At the current spot rate, management flagged that the translation component is likely to be flat for the year

COMMENTARY BY CATEGORY

LEATHER GOODS (+10.2% CFX IN 2Q26 / +9.8% CFX IN H1 26)

- Strong demand across all regions, with management stating that virtually all production was sold.
- New model launches supported desirability, including **Cliquetis, Kelly Hobo and Double Longe**.
- Continued investment in production capacity:
 - 25th leather workshop opened in **Loupes (Gironde)** in April-26.
 - **Charleville-Mézières** scheduled for 2027.
 - **Colombelles** scheduled for 2028.
 - **Les Andelys** scheduled for 2030.
- Approximately one new leather workshop per year remains the long-term ambition, with ~300 jobs created per site.

RTW & ACCESSORIES (+3.6% CFX IN 2Q26 / +2.0% CFX IN H1 26)

- Growth improved meaningfully in Q2, driven primarily by Ready-to-Wear.
- Major brand events included:
 - Women's FW26 collection presentation.

- Los Angeles second chapter presentation.
- Men's fashion show in Tokyo.
- High-end RTW remained strong while more volume-oriented categories such as footwear saw softer momentum due to weaker traffic in selected markets.

SILK & TEXTILES (+12.2% CFX IN 2Q26 / +9.7% CFX IN H1 26)

- Strong acceleration in Q2, driven by creativity, product innovation and strong customer reception.
- Scarves and ties performed well across regions.
- Silk was highlighted as one of the strongest-performing métiers in China.

OTHER HERMÈS SECTORS – JEWELLERY AND THE HOME (+4.0% CFX IN 2Q26 / +5.4% CFX IN H1 26)

- Jewellery remained a standout performer. Ninth High Jewellery collection (**Into the Horsescape**) received an enthusiastic reception globally.
- Management indicated the July High Jewellery event significantly exceeded expectations.
- Home collections attracted approximately 36,000 visitors at the Milan Furniture Fair.
- Continued investment in home and tableware production capacity (new Couzeix site scheduled in 2027).

PERFUMES & BEAUTY (-9.5% CFX IN 2Q26 / -4.5% CFX IN H1 26)

- Weakest-performing métier.
- Beauty and makeup continued to perform well.
- Perfume performance was stronger within Hermès stores than through external distribution channels.
- Launches included:
 - Plein Air foundation.
 - Un Jardin sous la Mer.
 - Musc Pallida.
- Management explicitly acknowledged that execution in perfume can improve and identified the category as an area requiring additional work.

WATCHES (+4.4% CFX IN 2Q26 / +0.2% CFX IN H1 26)

- Returned to growth during Q2 following a weaker start to the year. Supported by iconic collections, particularly the **H08**.
- Continued manufacturing investment through Swiss capacity expansion, with the expansion of the Noirmont site scheduled for 2028.

OTHER PRODUCTS (+1.9% CFX IN 2Q26 / +2.8% CFX IN H1 26)

- Broadly stable growth.
- Includes John Lobb, Saint-Louis, Puiforcat and manufacturing activities for third parties.

COMMENTARY BY GEOGRAPHY

FRANCE (+6.2% CFX IN 2Q26 / +1.8% CFX IN H1 26)

- Sharp improvement in Q2 versus Q1.
- Growth driven by:
 - Local customers.
 - Recovery in tourism.
- Paris was negatively impacted during parts of H1 by lower Middle Eastern tourism.
- Regional France, Paris and the French Riviera all improved in Q2.
- Management remains somewhat more cautious on France for 2H26

REST OF EUROPE (+8.3% CFX IN 2Q26 / +8.8% CFX IN H1 26)

- Continued strong momentum across the region.
- Particularly strong trends in: Italy, Northern Europe, Germany, Greece, United Kingdom.
- **New Bond Street Maison** in London was highlighted as a major operational and communication milestone.
- Berlin store reopened following renovation and expansion.

JAPAN (+12.3% CFX IN 2Q26 / +11.0% CFX IN H1 26)

- Strong acceleration in Q2. Driven by loyal local customers and healthy traffic trends.
- Store investments included:
 - Osaka renovation and expansion.
 - New Nagoya store opening.
- Japan remains an important example of Hermès' "local customer first" strategy.

ASIA EX-JAPAN (+2.5% CFX IN 2Q26 / +2.4% CFX IN H1 26)

- Positive but subdued growth.
- Korea delivered outstanding performance and was identified as the largest positive contributor.
- Southeast Asia showed mixed trends, with Thailand slowing.
- **Greater China** remained stable rather than materially improving.
 - Consumer confidence remains constrained by the property-market downturn and elevated savings rates, with management noting that aspirational customers remain under greater pressure than high-net-worth clients.
 - Chinese customers continue to purchase predominantly in their domestic market, while management highlighted jewellery, beauty and silk among the strongest-performing categories in China.

AMERICAS (+13.7% CFX IN 2Q26 / +15.3% CFX IN H1 26)

- Remained Hermès' strongest major region.
- Growth described as balanced across countries and métiers.
- Management highlighted no material change in U.S. trends entering H2.
- Continued investment in distribution:
 - San Diego relocation.
 - Planned openings in Williamsburg, Manhattan, Chicago and Brooklyn.
- Targeted hiring expected to continue to support growth.

OTHER / MIDDLE EAST (-2.4% CFX IN 2Q26 / -4.2% CFX IN H1 26)

- Region remained negatively impacted by geopolitical disruption.
- Management estimated the Middle East reduced Group growth by roughly **150bps in both Q1 and Q2**.
- UAE remained resilient, supported by higher average transaction values.
- Kuwait, Qatar and Bahrain faced a more difficult environment.
- Middle Eastern customers travelled less and spent more domestically.
- Management emphasized that customer appetite remained intact despite the temporary disruption.

RETAIL FOOTPRINT AND FTES

- Added more than **600 employees in H1**, including over **300 in France**. Total workforce reached **27,107 employees**.
- Network strategy remains focused on productivity and larger-format stores rather than store-count expansion. Current network comprises roughly **294 stores**.
- Major H1 projects:
 - Beijing opening.
 - Nagoya opening.
 - Berlin renovation.
 - Osaka renovation.
 - Hong Kong renovations.
 - New Bond Street Maison opening.
- Planned H2 opening:
 - Chicago.
 - Brooklyn.
 - Rio de Janeiro.

- Chengdu.
- Management reiterated that future growth should come primarily from productivity, category expansion and client penetration rather than significant store-count growth.

FINANCIAL PERFORMANCE (GM 71.1%; EBIT MARGIN 41.0% IN H1 26)

- Revenue reached **€8.2bn**, up **+6.1% cFX in H1 26** and **+6.7% cFX in 2Q26**.
- Gross Margin reached +71.1%, up 40bps YoY.
 - Benefited from exceptional sell-through and disciplined inventory management.
 - Partly offset by approximately €100m of negative hedging impact.
- Recurring Operating Income reached €3.4bn with a 41.0% EBIT margin.
 - Margin declined only 40bps despite approximately 100bps FX headwind.
 - Currency impact on EBIT estimated at nearly €200m.
- Management described the H1 EBIT margin as outstanding, but highlighted higher H2 investments, a larger negative hedging impact and a diminishing FX translation benefit.

EXHIBIT 1: Global Luxury Goods - OSG Breakdown

Company	Division	Bernstein - New		Bernstein - Old		New vs. Old (bps)		Consensus		New vs. Consensus	
		2026	2027	2026	2027	2026	2027	2026	2027	2026	2027
LVMH	Group	3.6%	6.2%	3.1%	6.2%	55	-3	2.7%	4.8%	99	133
	Wines & Spirits	3.5%	2.0%	0.6%	2.0%	284	0	3.6%	3.7%	-15	-166
	Fashion & Leather Goods	2.4%	7.0%	2.4%	7.0%	0	0	0.9%	4.7%	146	233
	Perfumes & Cosmetics	1.1%	5.0%	2.8%	5.0%	-174	0	0.5%	3.9%	57	107
	Watches & Jewelry	7.7%	5.0%	4.4%	5.0%	333	0	7.6%	6.7%	10	-171
	Selective Retailing	5.2%	7.0%	4.8%	7.0%	47	0	4.4%	5.3%	80	168
Hermès	Group	7.4%	10.5%	7.7%	10.5%	-25	0	7.1%	8.4%	33	216
	Leather Goods - Saddlery	11.1%	12.0%	11.3%	12.0%	-20	0	11.1%	10.3%	6	166
	Ready-to-Wear & Acc.	3.7%	10.0%	3.8%	10.0%	-10	0	3.4%	6.3%	33	368
	Silk and Textiles	9.1%	8.0%	7.2%	8.0%	191	0	6.6%	6.4%	248	159
	Other Hermès Sectors	7.0%	10.0%	7.5%	10.0%	-50	0	6.3%	8.0%	65	199
	Perfumes	-4.9%	8.0%	2.3%	8.0%	-723	0	-0.1%	5.3%	-482	270
	Watches	1.5%	7.0%	0.5%	7.0%	104	0	-0.8%	5.0%	230	200
	Other products	3.6%	5.0%	4.2%	5.0%	-54	0	2.3%	5.6%	136	-63
Richemont	Group	14.8%	10.1%	8.9%	6.9%	590	318	9.0%	7.2%	584	289
	Jewellery Maisons	18.1%	12.0%	10.5%	7.5%	765	450	10.0%	8.1%	811	390
	Specialist Watchmakers	4.9%	4.0%	5.2%	6.0%	-25	-200	4.0%	4.7%	95	-70
	All Other Businesses	5.8%	4.0%	4.0%	4.0%	178	0	5.0%	4.5%	78	-52
Kering	Group	1.8%	5.7%	2.2%	5.7%	-43	1	2.6%	6.2%	-83	-49
	Fashion & Leather Goods	0.0%	5.2%	0.4%	5.2%	-36	1	0.5%	5.8%	-47	-57
	Of which, other F&LG	1.8%	4.5%	3.4%	4.5%	-156	0	3.7%	5.4%	-185	-91
	Of which, Gucci	-2.0%	6.0%	-2.9%	6.0%	81	0	-2.7%	5.9%	65	12
	Kering Jewelry	16.2%	8.0%	17.3%	8.0%	-112	0	22.5%	10.2%	-628	-219
Moncler	Group	7.1%	7.6%	7.7%	7.6%	-60	1	6.8%	5.9%	29	164
	Moncler	6.8%	6.8%	7.7%	6.8%	-85	-1	6.9%	6.3%	-9	47
	Stone Island	8.8%	9.2%	7.8%	9.3%	102	-12	7.1%	5.9%	170	331
Burberry	Group	5.6%	6.3%	6.1%	6.3%	-45	0	4.8%	5.9%	86	36
	Retail	5.8%	6.5%	6.2%	6.5%	-42	0	4.6%	5.9%	121	64
	Wholesale	6.5%	5.0%	5.0%	5.0%	147	0	7.5%	6.0%	-100	-105
	Licensing	-3.0%	6.0%	8.0%	6.0%	-1100	0	-1.4%	4.2%	-156	178
Swatch Group	Group	9.1%	3.6%	9.1%	3.6%	0	0	4.9%	4.3%	428	-76
	Watches & Jewelry	9.5%	3.5%	9.5%	3.5%	0	0	5.0%	4.4%	449	-89
	Electronic Systems	3.0%	5.0%	3.0%	5.0%	0	0	4.7%	4.3%	-167	67

Source: Company reports, Visible Alpha, Bernstein estimates and analysis

EXHIBIT 2: Global Luxury Goods - EBIT% Breakdown

Company	Division	Bernstein - New		Bernstein - Old		New vs. Old (bps)		Consensus		New vs. Consensus	
		2026	2027	2026	2027	2026	2027	2026	2027	2026	2027
Hermès	Hermès Group	40.2%	40.1%	39.8%	40.1%	43	1	40.2%	40.4%	5	-35
	France	43.7%	43.0%	42.4%	43.0%	132	0	44.4%	44.0%	-62	-96
	Rest of Europe	34.0%	33.5%	33.6%	33.5%	33	0	34.1%	34.1%	-16	-60
	Japan	40.4%	40.0%	39.0%	40.0%	137	0	39.5%	39.1%	81	89
	Rest of Asia	40.8%	42.0%	40.4%	42.0%	33	0	41.0%	41.1%	-27	88
	Americas	36.3%	36.0%	37.5%	36.0%	-116	0	35.4%	35.7%	85	29
	Other	39.4%	40.0%	35.3%	40.0%	414	0	43.1%	34.7%	-372	527
LVMH	LVMH Group	22.0%	23.1%	21.7%	23.2%	32	-5	21.9%	22.5%	4	61
	Wines & Spirits	19.0%	21.0%	17.4%	21.0%	160	0	19.4%	20.2%	-36	77
	Fashion & Leather Goods	34.8%	36.5%	34.8%	36.5%	0	0	34.6%	35.2%	16	129
	Perfumes & Cosmetics	8.8%	9.5%	8.5%	9.5%	30	0	9.0%	9.2%	-19	28
	Watches & Jewelry	15.0%	16.0%	14.2%	16.0%	80	0	15.2%	16.1%	-17	-11
	Selective Retailing	10.0%	10.0%	9.4%	10.0%	60	0	10.0%	10.3%	-4	-30
Kering	Kering Group	12.8%	14.6%	12.0%	14.5%	75	13	13.1%	15.2%	-26	-65
	Fashion & Leather Goods	15.1%	16.9%	14.1%	16.8%	97	4	15.3%	17.0%	-18	-12
	Of which, other F&LG	12.4%	13.5%	11.3%	13.5%	115	0	12.5%	13.8%	-5	-32
	Of which, Gucci	18.0%	20.5%	17.3%	20.5%	70	0	18.4%	20.4%	-32	10
	Kering Jewelry	6.6%	6.5%	4.5%	5.0%	207	150	4.2%	6.0%	235	55
	Kering Eyewear	20.9%	21.0%	16.1%	17.0%	475	400	16.8%	17.9%	409	310
Moncler	Moncler Group	29.8%	30.2%	29.4%	29.8%	40	40	29.4%	29.6%	44	56
Swatch Group	Swatch Group	6.3%	9.0%	6.5%	9.0%	-16	0	5.1%	8.2%	129	88
		2027	2028	2027	2028	2027	2028	2027	2028	2027	2028
Richemont	Richemont Group	23.0%	24.2%	20.9%	21.9%	214	230	21.3%	22.5%	173	169
	Jewellery Maisons	32.1%	32.5%	30.0%	30.3%	203	220	30.8%	31.8%	127	65
	Specialist Watchmakers	6.0%	7.8%	5.0%	7.8%	98	0	5.1%	7.1%	91	68
Burberry	Burberry Group	8.8%	11.5%	9.4%	11.7%	-68	-21	9.7%	12.3%	-94	-87

Source: Company reports, Visible Alpha, Bernstein analysis and estimates

EXHIBIT 3: **Where We Stand**

WHERE WE STAND									
(In reporting currency, in millions)									
	Revenue - Bernstein View			YoY Change - Bernstein (%)			vs. Consensus (%)		
	2025	2026	2027	2025	2026	2027	2026	2027	
LVMH Moet Hennessy Louis Vuitton	80,807	81,418	86,447	-5%	1%	6%	1%	2%	
Kering	14,675	14,628	15,491	-15%	0%	6%	0%	-1%	
Hermes International	16,002	16,940	18,726	5%	6%	11%	1%	3%	
Essilorluxottica	28,491	30,796	33,196	7%	8%	8%	2%	1%	
Cie Financiere Richemont	22,420	25,535	28,106	5%	14%	10%	2%	4%	
Swatch Group	6,280	6,603	6,840	-7%	5%	4%	1%	-1%	
Moncler Spa	3,132	3,302	3,538	1%	5%	7%	1%	1%	
Burberry Group Plc	2,420	2,576	2,738	-2%	6%	6%	1%	1%	
Prada S.P.A.	5,718	6,264	6,621	5%	10%	6%	-2%	-2%	
Brunello Cucinelli	1,408	1,529	1,724	10%	9%	13%	-1%	1%	
Ermenegildo Zegna	1,917	2,012	2,213	-2%	5%	10%	-1%	0%	
Salvatore Ferragamo	977	974	1,038	-6%	0%	7%	-1%	2%	
	Org. Growth - Bernstein View			YoY Change - Bernstein (%)			vs. Consensus (bps)		
	2025	2026	2027	2025	2026	2027	2026	2027	
LVMH Moet Hennessy Louis Vuitton	-1.0%	3.6%	6.2%				99	133	
Kering	-10.0%	1.8%	5.7%				14	(80)	
Hermes International	8.9%	7.4%	10.5%				33	217	
Essilorluxottica	11.2%	11.4%	7.8%				356	(86)	
Cie Financiere Richemont	11.0%	14.8%	10.1%				325	289	
Swatch Group	-1.3%	9.1%	3.6%				387	(130)	
Moncler Spa	3.1%	7.1%	7.6%				29	164	
Burberry Group Plc	0.1%	5.6%	6.3%				86	36	
Prada S.P.A.	9.0%	2.9%	5.7%				(566)	101	
Brunello Cucinelli	11.5%	10.8%	10.7%				(30)	66	
Ermenegildo Zegna	1.1%	7.1%	8.0%				(64)	47	
Salvatore Ferragamo	-3.7%	3.1%	4.6%				59	43	
	EBIT - Bernstein View			YoY Change - Bernstein (%)			vs. Consensus (%)		
	2025	2026	2027	2025	2026	2027	2026	2027	
LVMH Moet Hennessy Louis Vuitton	17,755	17,896	19,999	-9%	1%	12%	1%	4%	
Kering	1,631	1,872	2,259	-36%	15%	21%	0%	-5%	
Hermes International	6,569	6,816	7,506	7%	4%	10%	1%	2%	
Essilorluxottica	4,459	4,761	5,533	1%	7%	16%	-2%	5%	
Cie Financiere Richemont	4,551	5,881	6,799	2%	29%	16%	8%	7%	
Swatch Group	135	419	619	-56%	211%	48%	26%	10%	
Moncler Spa	913	984	1,067	0%	8%	8%	3%	3%	
Burberry Group Plc	160	230	314	515%	44%	36%	-7%	-6%	
Prada S.P.A.	1,299	1,140	1,265	2%	-12%	11%	-9%	-6%	
Brunello Cucinelli	228	263	302	8%	15%	15%	-1%	2%	
Ermenegildo Zegna	139	187	261	-16%	34%	40%	-4%	6%	
Salvatore Ferragamo	(21)	38	63	-56%	n.m.	66%	10%	14%	
	EBIT % - Bernstein View			YoY Change - Bernstein (bps)			vs. Consensus (bps)		
	2025	2026	2027	2025	2026	2027	2026	2027	
LVMH Moet Hennessy Louis Vuitton	22.0%	22.0%	23.1%	(114)	1	115	4	61	
Kering	11.1%	12.8%	14.6%	(374)	168	178	1	(69)	
Hermes International	41.1%	40.2%	40.1%	52	(81)	(15)	8	(27)	
Essilorluxottica	15.7%	15.5%	16.7%	(100)	(19)	121	(52)	66	
Cie Financiere Richemont	20.3%	23.0%	24.2%	(58)	273	116	165	167	
Swatch Group	2.1%	6.3%	9.0%	(236)	420	270	66	61	
Moncler Spa	29.2%	29.8%	30.2%	(31)	64	36	44	56	
Burberry Group Plc	6.6%	8.9%	11.5%	556	233	253	(79)	(90)	
Prada S.P.A.	22.7%	18.2%	19.1%	(84)	(452)	90	(122)	(82)	
Brunello Cucinelli	16.2%	17.2%	17.5%	(38)	102	32	4	4	
Ermenegildo Zegna	7.3%	9.3%	11.8%	(130)	201	250	(24)	64	
Salvatore Ferragamo	-2.2%	3.9%	6.1%	254	608	217	25	67	
	EPS - Bernstein View			YoY Change - Bernstein (%)			vs. Consensus (%)		
	2025	2026	2027	2025	2026	2027	2026	2027	
LVMH Moet Hennessy Louis Vuitton	22.73	22.66	26.79	-13%	0%	18%	0%	5%	
Kering	4.35	6.66	9.93	-59%	53%	49%	2%	-3%	
Hermes International	43.12	45.11	53.40	-2%	5%	18%	0%	5%	
Essilorluxottica	6.79	7.65	8.95	0%	13%	17%	4%	10%	
Cie Financiere Richemont	5.96	8.07	9.33	-7%	35%	16%	9%	9%	
Swatch Group	0.03	5.60	8.67	-99%		55%	34%	15%	
Moncler Spa	2.31	2.46	2.66	-2%	7%	8%	3%	4%	
Burberry Group Plc	0.24	0.36	0.54	n.m.	45%	52%	-6%	-4%	
Prada S.P.A.	0.33	0.28	0.32	2%	-15%	12%	-8%	-6%	
Brunello Cucinelli	1.99	2.26	2.65	13%	14%	17%	1%	4%	
Ermenegildo Zegna	0.45	0.42	0.60	37%	-7%	43%	1%	12%	
Salvatore Ferragamo	(0.30)	0.04	0.15	-28%	n.m.	n.m.	25%	12%	

Note that calendar years for CFR and BRBY correspond to the their closest financial year or quarter (i.e. CY2025 = FY2026; CY3Q25 = FY2Q26), unless stated otherwise

Source: Company reports, Visible Alpha, Bernstein analysis and estimates

EXHIBIT 4: **Global Luxury Goods - Valuations**

Current Global Luxury Goods Valuation CY 2026					
	P/E	Relative P/E	EV/Sales	EV/EBITDA	EV/EBIT
Kering	38.7	2.4	2.8	11.1	22.3
Hermès	38.2	2.4	10.1	22.2	25.1
Brunello Cucinelli	37.9	2.4	4.4	14.8	26.0
Zegna	31.3	2.0	2.1	9.5	22.5
Richemont	28.6	1.8	4.8	17.0	21.9
Burberry	29.6	1.8	1.9	8.4	20.2
EssilorLuxottica	23.3	1.5	3.0	13.0	19.5
LVMH	21.0	1.3	3.2	10.5	14.6
Moncler	19.9	1.2	4.2	10.5	14.4
Birkenstock	18.4	1.2	3.4	11.2	13.7
Prada	14.0	0.9	2.3	6.8	11.9
Salvatore Ferragamo	n.m.	n.m.	2.2	11.4	64.4
Swatch	n.m.	n.m.	1.2	10.0	22.7
Average	27.4	1.7	3.5	12.0	23.0

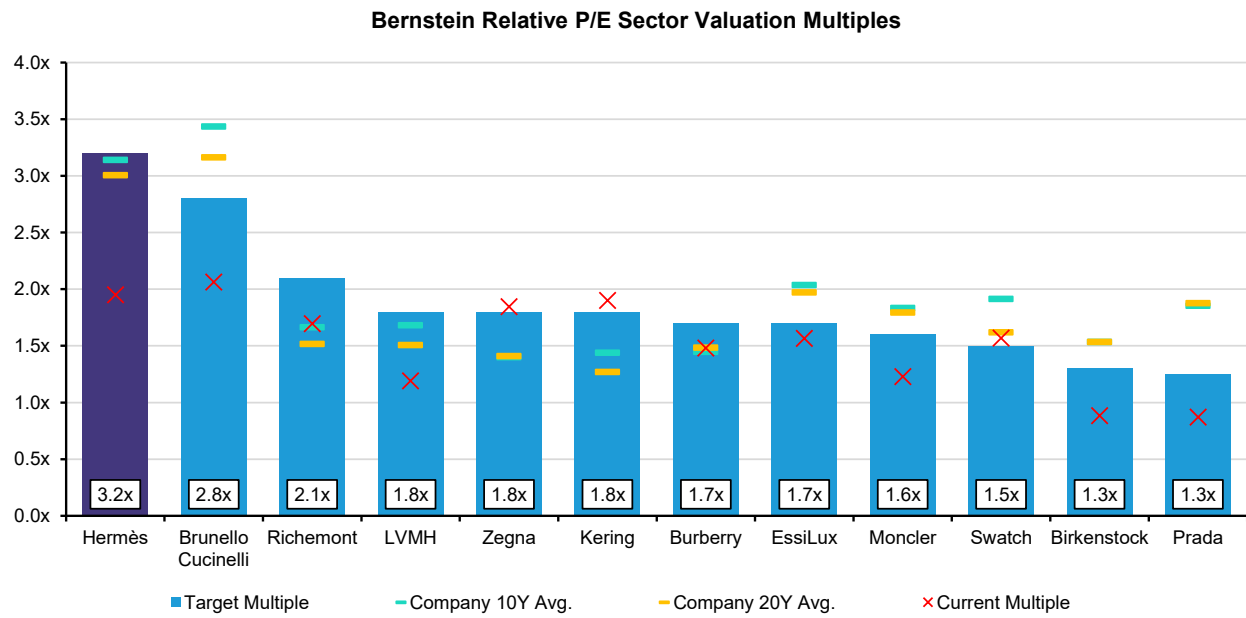
Source: Bloomberg (as of 28/07/26), Bernstein analysis

EXHIBIT 5: **Global Luxury Valuation Premium/(Discount) vs. 10 year History**

Global Luxury Valuation Premium/(Discount) vs 10 year History						
	P/E	Relative P/E	EV/Sales	EV/EBITDA	EV/EBIT	Average
Zegna	58%	39%	41%	48%	81%	53%
Richemont	11%	7%	43%	27%	16%	21%
Salvatore Ferragamo	n.m.	n.m.	(2%)	36%	n.m.	17%
Swatch	n.m.	n.m.	(26%)	9%	33%	5%
Burberry	36%	28%	(21%)	(20%)	24%	9%
Birkenstock	(19%)	(25%)	(16%)	(13%)	(13%)	(17%)
LVMH	(18%)	(22%)	(20%)	(24%)	(18%)	(21%)
Brunello Cucinelli	(29%)	(31%)	2%	(13%)	(17%)	(18%)
Hermès	(19%)	(24%)	(12%)	(20%)	(20%)	(19%)
Kering	n.m.	n.m.	(22%)	(9%)	40%	3%
EssilorLuxottica	(26%)	(29%)	(18%)	(18%)	(19%)	(22%)
Moncler	(29%)	(32%)	(25%)	(31%)	(26%)	(29%)
Prada	(50%)	(53%)	(33%)	(38%)	(43%)	(43%)
Average	(9)%	(14)%	(8)%	(5)%	3%	(5)%

Source: Bloomberg (as of 28/07/26), Bernstein analysis

EXHIBIT 6: **Global Luxury Goods - Relative P/E**



Source: Bloomberg, Bernstein analysis

APPENDIX - FINANCIAL FORECASTS

EXHIBIT 7: Hermes - Income Statement

INCOME STATEMENT (EUR million)	1999A	2000A	2019A	2020A	2021A	2022A	2023A	2024A	2025A	2026E	2027E	2028E
Net Sales	927	1,159	6,883	6,389	8,982	11,602	13,427	15,170	16,002	16,940	18,726	20,552
Cost of Sales	(385)	(442)	(2,125)	(2,013)	(2,580)	(3,389)	(3,720)	(4,511)	(4,623)	(4,896)	(5,543)	(6,083)
Gross Margin	542	717	4,759	4,376	6,402	8,213	9,708	10,660	11,379	12,044	13,183	14,469
SG&A	(309)	(382)	(1,972)	(1,881)	(2,308)	(2,905)	(3,392)	(3,567)	(3,884)	(4,122)	(4,541)	(4,931)
EBITDA	233	335	2,787	2,496	4,094	5,304	6,316	6,993	7,495	7,872	8,642	9,535
Amortisation & Depreciation	(35)	(42)	(448)	(514)	(563)	(607)	(666)	(844)	(926)	(1,056)	(1,135)	(1,233)
Other Operating Income & Expense												
EBIT	198	293	2,339	1,981	3,531	4,697	5,650	6,149	6,569	6,816	7,506	8,302
Net Financial Result	3	(69)	(86)	(86)	(96)	(62)	190	283	207	212	264	318
Profit before Tax	202	300	2,270	1,895	3,435	4,635	5,840	6,432	6,776	7,029	7,770	8,620
Tax	(74)	(115)	(751)	(585)	(1,015)	(1,305)	(1,623)	(1,845)	(2,263)	(2,355)	(2,253)	(2,500)
Income (loss) from Associates	0	2	16	16	34	50	105	44	47	49	54	60
Net Profit	128	187	1,535	1,327	2,454	3,380	4,322	4,631	4,560	4,723	5,571	6,180
Net Minorities	(3)	(7)	(7)	(4)	(8)	(13)	(12)	(28)	(36)	(37)	(44)	(49)
Goodwill	(7)	(5)										
ADJUSTED Net Profit for the Group	119	175	1,528	1,322	2,446	3,367	4,310	4,603	4,524	4,685	5,527	6,131
Discontinued Operations & Exceptionals			0	63	0	0	0	0	0	0	0	0
REPORTED Net Profit for the Group	119	175	1,528	1,385	2,446	3,367	4,310	4,603	4,524	4,685	5,527	6,131
Diluted Shares Outstanding (million)	111,557,703	111,595,521	105,055,331	104,888,511	104,964,401	104,936,295	104,842,483	104,925,000	104,925,000	104,925,000	104,925,000	104,925,000
ADJUSTED EPS, diluted (EUR)	1.07	1.57	14.55	12.61	23.30	32.09	41.11	43.87	43.12	44.66	52.67	58.44
REPORTED EPS, diluted (EUR)	1.07	1.57	14.55	13.21	23.30	32.09	41.11	43.87	43.12	44.66	52.67	58.44

Source: Company reports, Bernstein analysis and estimates

EXHIBIT 8: Hermes - Cash Flow Statement

CASH FLOW STATEMENT (EUR million)	1999A	2000A	2019A	2020A	2021A	2022A	2023A	2024A	2025A	2026E	2027E	2028E
Net Profit for the Group	119	175	1,528	1,385	2,445	3,367	4,311	4,603	4,524	4,685	5,527	6,131
Amortisation & Depreciation	35	42	448	514	563	607	666	844	926	1,056	1,135	1,233
Other Adjustments	9	4	201	93	60	148	161	(54)	184	2,131	1,980	2,171
Gross Cash from Operations	162	221	2,077	1,993	3,068	4,122	5,138	5,393	5,634	7,872	8,642	9,535
Changes in net working capital	14	(7)	24	(350)	346	73	(794)	(239)	(233)	222	(247)	(217)
Interest, taxes and dividends from associates	0	0	0	0	0	0	0	0	0	(2,142)	(1,990)	(2,182)
Net Cash from Operations	176	214	2,101	1,642	3,414	4,195	4,344	5,154	5,401	5,952	6,406	7,137
Capex	(98)	(96)	(478)	(448)	(532)	(518)	(859)	(1,067)	(1,161)	(1,064)	(1,069)	(1,074)
Acquisitions	0	0	0	(72)	0	(1)	(288)	(229)	(60)	0	0	0
Divestitures	1	1	46	102	15	37	93	(27)	(180)	0	0	0
Financial Investments			(77)	(36)	(198)	(166)	(52)	(27)	(180)	0	0	0
Net Cash from Investments	(97)	(95)	(509)	(454)	(715)	(648)	(1,106)	(1,226)	(1,352)	(1,064)	(1,069)	(1,074)
Issue of debt & equity	0	0	0	8	0	0	0	0	8	0	0	0
Dividends paid	(27)	(35)	(487)	(490)	(490)	(852)	(1,386)	(2,705)	(2,796)	(1,874)	(2,211)	(2,453)
Debt rep & Share rep	0	0	(256)	(329)	(378)	(384)	(408)	(343)	(349)	0	0	0
Other financing activities	(0)	0	0	0	0	0	0	2	1	0	0	0
Net Cash from Financing Activities	(28)	(35)	(743)	(810)	(868)	(1,236)	(1,794)	(3,046)	(3,136)	(1,874)	(2,211)	(2,453)
Effect of FX rate changes	0	0	33	(55)	110	159	(138)	119	(364)	0	0	0
Net Cash from discontinued operations	(25)	11	0	0	0	0	0	0	0	0	0	0
TOTAL Net Cash Flow	26	95	882	324	1,941	2,470	1,306	1,001	549	3,014	3,126	3,610

Source: Company reports, Bernstein analysis and estimates

EXHIBIT 9: Hermes - Balance Sheet

BALANCE SHEET (EUR million)	1999A	2000A	2019A	2020A	2021A	2022A	2023A	2024A	2025A	2026E	2027E	2028E
Cash & Cash Equivalents	332	428	4,384	4,733	6,696	9,222	10,625	11,643	12,240	15,254	18,380	21,990
Short term borrowings	0	0	(21)	(25)	(1)	(2)	(1)	0	0	0	0	0
Inventory	214	257	1,133	1,289	1,449	1,779	2,414	2,797	2,575	2,548	2,885	3,187
Trade Receivables	101	129	318	250	333	383	431	478	418	557	616	676
Trade Payables	(110)	(141)	(480)	(448)	(535)	(777)	(880)	(832)	(792)	(1,127)	(1,276)	(1,400)
Other Current Assets	97	121	256	378	368	442	539	558	677	677	677	677
Other Current Liabilities	(149)	(185)	(1,523)	(1,366)	(2,040)	(2,225)	(2,303)	(2,797)	(2,393)	(2,393)	(2,393)	(2,393)
Net Working Capital	486	608	4,067	4,811	6,270	8,822	10,825	11,847	12,725	15,517	18,889	22,716
Net Fixed Assets	283	325	2,574	3,166	3,407	3,597	4,063	4,766	5,488	5,497	5,431	5,272
Intangibles	76	80	200	264	300	213	297	465	411	411	411	411
Other Non Current Assets	33	38	1,016	972	1,295	1,822	2,078	2,378	2,512	2,561	2,615	2,674
Total Net Assets	878	1,052	7,858	9,212	11,272	14,454	17,263	19,456	21,136	23,986	27,346	31,073
Long term debt	(175)	(178)	(30)	(18)	(24)	(35)	(50)	(61)	(34)	(34)	(34)	(34)
Other Non Current Liabilities	(61)	(72)	(1,252)	(1,803)	(1,835)	(1,963)	(2,010)	(2,061)	(2,257)	(2,257)	(2,257)	(2,257)
Minorities	(24)	(30)	(8)	(11)	(12)	(16)	(2)	(7)	(6)	(43)	(87)	(136)
Equity	(619)	(772)	(6,568)	(7,380)	(9,401)	(12,440)	(15,201)	(17,327)	(18,840)	(21,651)	(24,967)	(28,646)
Total Net Liabilities	(878)	(1,052)	(7,858)	(9,212)	(11,272)	(14,454)	(17,263)	(19,456)	(21,137)	(23,986)	(27,346)	(31,073)

Source: Company reports, Bernstein analysis and estimates

BERNSTEIN TICKER TABLE

Ticker	Rating	Cur	28 Jul 2026		TTM Rel. Perf.	Adjusted EPS				Adjusted P/E (x)		
			Closing Price	Price Target		Cur	2025A	2026E	2027E	2025A	2026E	2027E
RMS.FP (Hermes)	O	EUR	1,695.50	2,150.00	(54.9)%	EUR	43.12	44.66	52.67	39.3	38.0	32.2
OLD								43.89	52.30			
EDME			1,606.72									

ESTIMATE CHANGE IN BOLD

O - Outperform, M - Market-Perform, U - Underperform, NR - Not Rated, CS - Coverage Suspended

Source: Bloomberg, Bernstein estimates and analysis.

DISCLOSURE APPENDIX

I. REQUIRED DISCLOSURES

References to "Bernstein" or the "Firm" in these disclosures relate to the following entities: Bernstein Institutional Services LLC (April 1, 2024 onwards), Sanford C. Bernstein & Co., LLC (pre April 1, 2024), Bernstein Autonomous LLP, BSG France S.A. (April 1, 2024 onwards), Sanford C. Bernstein (Hong Kong) Limited 盛博香港有限公司, Sanford C. Bernstein (Canada) Limited, Sanford C. Bernstein (India) Private Limited (SEBI registration no. INH000006378), Sanford C. Bernstein (Singapore) Private Limited, Sanford C. Bernstein Japan KK (サンフォード・C・バーンスタイン株式会社) and analysts employed by Société Générale Africa Technologies & Services to produce Bernstein research under a Global Services Agreement in place between Bernstein and Société Générale.

Bernstein is part of a joint venture between Société Générale (SG) and AllianceBernstein, L.P. (AB). Unless specifically noted otherwise, for purposes of these disclosures, references to Bernstein's "affiliates" relate to both SG and AB and their respective affiliates.

VALUATION METHODOLOGY**Hermès International**

We value Hermès on a target 3.2x relative P/E multiple to the MSCI Europe, applied to a blended NTM+1 forward EPS forecast, arriving at a target price of EUR2,150.

RISKS**Hermès International**

On the downside:

1. Failure to convincingly innovate could push Hermès in a "classic corner", a possible risk if the aesthetics pendulum swings away from "quiet luxury".
2. Significant reliance on precious skins could at one point come again in focus, as consumers become more interested in animal welfare – a move away from crocodile with higher volumes in less expensive raw materials could puncture the rarity effect of most iconic products.
3. Legal challenges to Hermès commercial policies seem a long shot (see the case in California) – if successful, though, they could force Hermès to increase handbag prices. This could translate to lower growth for other product categories, benefiting today from iconic products pull.

RATINGS DEFINITIONS, BENCHMARKS AND DISTRIBUTION**EQUITY RATINGS DEFINITIONS****Bernstein brand**

The Bernstein brand rates stocks based on forecasts of relative performance for the next 12 months versus the S&P 500 for stocks listed on the U.S. and Canadian exchanges, versus the Bloomberg Europe Developed Markets Large and Mid Cap Price Return Index EUR (EDME) for stocks listed on the European exchanges and emerging markets exchanges outside of the Asia Pacific region, versus the Bloomberg Japan Large and Mid Cap Price Return Index USD (JPL) for stocks listed on the Japanese exchanges, and versus the Bloomberg Asia ex-Japan Large and Mid Cap Price Return Index (ASIA) for stocks listed on the Asian (ex-Japan) exchanges -unless otherwise specified.

The Bernstein brand has three categories of ratings:

- Outperform: Stock will outpace the market index by more than 15 pp
- Market-Perform: Stock will perform in line with the market index to within +/- 15 pp
- Underperform: Stock will trail the performance of the market index by more than 15 pp

Coverage Suspended: Coverage of a company under the Bernstein research brand has been suspended. Ratings and price targets are suspended temporarily, are no longer current, and should therefore not be relied upon.

Not Rated: A rating assigned when the stock cannot be accurately valued, or the performance of the company accurately predicted, at the present time. The covering analyst may continue to publish research reports on the company to update investors on events and developments.

Not Covered (NC) denotes companies that are not under coverage.

Bernstein brand stock ratings are based on a 12-month time horizon.

Autonomous brand – common stocks

The Autonomous brand rates common stocks as indicated below. As our benchmarks we use the Bloomberg Europe 600 Financials Price Return Index (E600BK) and Bloomberg Europe Dev Mkt Financials Large and Mid Cap Price Ret Index EUR (EDMFI) index for developed European banks and Payments, the Bloomberg Europe 600 Insurance Price Return Index (E600IN) for European insurers, the S&P 500 and S&P Financials for US banks and Payments coverage, S5LIFE for US Insurance, the S&P Insurance Select Industry (SPSIINS) for US Non-Life Insurers coverage, the Bloomberg Emerging Markets Financials Large, Mid and Small Cap Price Return Index (EMLSF) for emerging market banks and insurers and Payments, and the Bloomberg Japan Financials Large & Mid Cap Price Return Index (JPFILM) for Japanese Financials. Ratings are stated relative to the sector (not the market).

The Autonomous brand has three categories of common stock ratings:

- **Outperform (OP):** Stock will outpace the relevant index by more than 10 pp
- **Neutral (N):** Stock will perform in line with the market index to within +/- 10 pp
- **Underperform (UP):** Stock will trail the performance of the relevant index by more than 10 pp

Coverage Suspended: Coverage of a company under the Autonomous research brand has been suspended. Ratings and price targets are suspended temporarily, are no longer current, and should therefore not be relied upon.

Not Rated: A rating assigned when the stock cannot be accurately valued, or the performance of the company accurately predicted, at the present time. The covering analyst may continue to publish research reports on the company to update investors on events and developments.

Those denoted as 'Feature' (e.g., Feature Outperform FOP, Feature Under Outperform FUP) are our core ideas.

Not Covered (NC) denotes companies that are not under coverage.

Autonomous brand common stock ratings are based on a 12-month time horizon.

Autonomous brand – preferred stocks

The Autonomous brand has three categories of preferred stock ratings:

- **Outperform (OP):** The total return of the preferred instrument is expected to outperform preferred securities of other issuers operating in similar sectors or rating categories over the next six months.
- **Neutral (N):** The total return of the preferred instrument is expected to perform in line with preferred securities of other issuers operating in similar sectors or rating categories over the next six months.
- **Underperform (UP):** The total return of the preferred instrument is expected to underperform preferred securities of other issuers operating in similar sectors or rating categories over the next six months.

Autonomous preferred stock ratings are based on a 6-month time horizon.

AUTONOMOUS CREDIT RESEARCH

Where this report contains investment recommendations for credit instruments, as defined in article 3(1)(35) of the Market Abuse Regulation, the information below is presented to comply with its disclosure requirements.

The report may also include reference(s) to published opinions by other Autonomous or Bernstein analysts covering the equity securities of the issuer(s) referenced herein. Please note an investment recommendation for credit instruments published by the author(s) of this report may differ from the published view of the analyst covering equity securities for the issuer(s) contained in this report and vice versa.

CREDIT RATINGS DEFINITIONS

The Autonomous brand has three categories of credit ratings:

- **Credit Outperform (C-OP):** The total return of the Reference Credit Instrument is expected to outperform the credit spread of bonds of other issuers operating in similar sectors or rating categories over the next six months.
- **Credit Neutral (C-N):** The total return of the Reference Credit Instrument is expected to perform in line with the credit spread of bonds of other issuers operating in similar sectors or rating categories over the next six months.
- **Credit Underperform (C-UP):** The total return of the Reference Credit Instrument is expected to underperform the credit spread of bonds of other issuers operating in similar sectors or rating categories over the next six months.

Autonomous credit ratings are based on a 6-month time horizon.

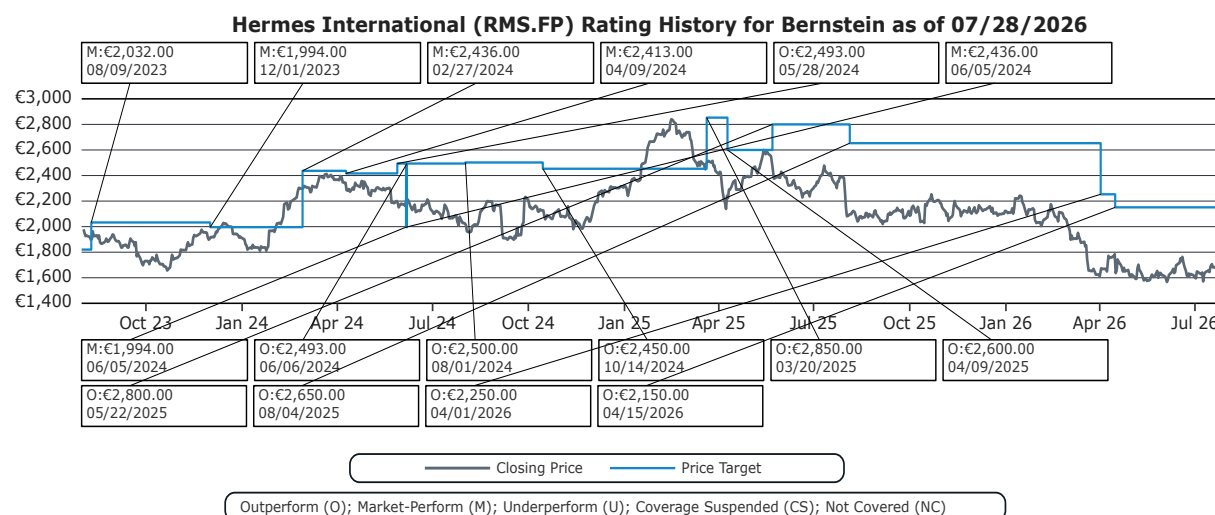
A list of all investment recommendations produced by the author(s) of this report alongside credit ratings history are available upon request.

It is at the sole discretion of the Firm as to when to initiate, update and cease research coverage. The Firm has established, maintains and relies on information barriers to control the flow of information contained in one or more areas (i.e. the private side) within the Firm, and into other areas, units, groups or affiliates (i.e. public side) of the Firm

DISTRIBUTION OF EQUITY RATINGS/INVESTMENT BANKING SERVICES

Equity Rating	Market Abuse Regulation (MAR) and FINRA Rating Category	Global Rating Distribution	Investment Banking Relationships*
Outperform	BUY	51.2%	15.3%
Market-Perform (Bernstein Brand) Neutral (Autonomous Brand)	HOLD	35.8%	16.2%
Underperform	SELL	13.1%	13.6%

* These figures represent the percentage of companies within each equity rating category for which affiliates of Bernstein have provided investment banking services within the previous 12 months.
As of June 30, 2026. All figures are updated quarterly.

PRICE CHARTS / RATINGS AND PRICE TARGET HISTORY

All price target and closing price data in the chart(s) above are denominated in the currency noted in the Ticker Table of this report.

CONFLICTS OF INTEREST

Bernstein has received compensation for non-investment banking securities-related products or services in the previous twelve months from the following clients: Hermes International.

Certain affiliates of Bernstein act as market maker or liquidity provider in the equities securities of: Hermes International.

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- +44 Bernstein Autonomous LLP; London UK
- +212 Société Générale Africa Technologies & Services; Casablanca, Morocco
- +33 BSG France S.A.; Paris, France
- +34 BSG France S.A.; Madrid, Spain
- +41 Bernstein Autonomous LLP; Geneva, Switzerland
- +49 BSG France S.A.; Frankfurt, Germany
- +91 Sanford C. Bernstein (India) Private Limited; Mumbai, India
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